



Starbucks Corporation Equity Research Report

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Executive Summary:

Company Overview– Starbucks is the world's leading specialty coffee company, operating 41,129 stores as an "affordable luxury." The company monetizes primarily through company-operated locations (83% of revenue), supported by a digital ecosystem of 30 million U.S. Rewards members who drive 60% of domestic sales through highly habitual, recurring transactions.

Industry Overview – The \$290B global coffee market is shifting toward automation and a "Cold Revolution," with cold drinks now representing 76% of U.S. sales, shifting the competitive landscape toward customizable, snack-oriented offerings. Starbucks holds a dominant 48.1% U.S. market share, defending its moat via "Siren System" technology that has optimized throughput to under four-minute wait times.

Financial Analysis – After a stagnant FY25 defined by a 4% U.S. transaction collapse, Q2 2026 marked an inflection point with global same-store sales up 6.2%. While North American margins face labor and commodity pressures, International margins reached 19.4% following the China restructuring, supported by a 2.44x operating cash flow-to-net income ratio.

Valuation & Recommendation – We rate Starbucks Neutral because the company remains a strong global coffee leader, but the current stock price already reflects much of the expected turnaround. Our DCF base case yields a fair value of \$92.50 per share, compared with the current share price of \$105.91, implying limited upside. Comparable company analysis also shows Starbucks trading at a fair-to-premium valuation relative to peers. Overall, Starbucks is a high-quality business, but investors may want to wait for clearer margin recovery or a better entry point before increasing exposure.

Risks – Starbucks faces strategic execution risk in its "Back to Starbucks" rollout and structural risk from the China JV transition, which triggered a 61.7% effective tax spike. Additionally, market risks such as volatile Arabica pricing and currency headwinds threaten consolidated margin stability.

Business Overview

Starbucks Corporation (SBUX)

Starbucks is a global specialty coffee retailer and roaster, operating over 41,129 stores across more than 80 markets. The company generates the majority of its revenue through company-operated stores, supplemented by licensed stores and its channel development segment, which includes packaged coffee and ready-to-drink beverages distributed through partnerships such as its Global Coffee Alliance with Nestlé. Starbucks operates through three primary segments: North America, which accounts for approximately 74% of total net revenue;

International, contributing roughly 21% of revenue and including key markets such as China, Japan, and Europe; and Channel Development, which represents about 5% of revenue and focuses on retail and foodservice distribution. China itself accounts for 8% of total net revenue and 19.4% of all operating stores in Q2'26.

Revenue is primarily driven by company-operated stores, which account for approximately 83% of total net revenue, while licensed stores contribute around 12%. From a product perspective, Starbucks is heavily reliant on beverages, which represent roughly 73% of retail sales, followed by food at 23% and other items at 4%. Although revenue is transactional in nature, it is highly recurring due to habitual consumer demand, as coffee consumption is embedded in daily routines.

Starbucks operates in the highly competitive global coffee and quick-service restaurant industry, competing with companies such as Dunkin', Tim Hortons, McDonald's, and numerous local coffee shops, as well as at-home coffee alternatives. The company's competitive position is supported by its global scale, strong brand equity, and pricing power, driven by its positioning as an "affordable luxury." Additionally, Starbucks benefits from a large and engaged digital ecosystem, including over 30 million active U.S. rewards members, as well as highly convenient store locations that reinforce customer loyalty and repeat visits. However, competition remains intense, and consumers face relatively low switching costs, particularly in price-sensitive environments.

Financially, Starbucks generates over \$37 billion in annual revenue, with modest growth of 3% year-over-year in fiscal 2025; however, this top-line growth was purely a byproduct of new store openings that masked a shrinking customer base, as global comparable store sales actually declined 1%—driven by a 4% collapse in U.S. transactions. In North America, operating income declined by approximately 41%, from \$5.4 billion to \$3.2 billion, and margins contracted by approximately 830 basis points to roughly 11.5%. This margin compression was driven by a combination of operational deleverage, restructuring costs related to store optimization, and increased labor and reinvestment as part of the company's "Back to Starbucks" strategy.

Strategically, Starbucks is focused on improving operational execution and customer experience through its "Back to Starbucks" initiative, which emphasizes store-level investments and enhancements to the in-store environment. At the same time, the company is pursuing cost efficiencies by simplifying its menu, leveraging AI and technology to optimize its supply chain and mobile app, and implementing systems such as the Siren Craft System to improve operational speed and consistency.

Industry Overview

Q1'26 performance across the global coffee landscape saw a strategic pivot toward operational efficiency, with revenue growth across major branded players averaging over 5.5% on an annual basis. Despite the maturity of the North American market, global coffee shop penetration remains structurally attractive, signaling significant untapped potential in emerging regions.

Research from industry analysts estimates the global coffee shop market to grow at a 3.5% CAGR through 2032, reaching approximately \$290.23 billion. This steady growth has seen dominant players like Starbucks make aggressive efforts to defend their "moat" against rapid-growth competitors like Dutch Bros. Additionally, the U.S. remains a global leader in branded coffee concentration, with Starbucks and Dunkin' together controlling nearly 70% of the branded market. This strategy of high-density store placement has been a key driver of Starbucks' reach, with the firm ending Q1'26 with 41,118 stores globally (a 4% increase in store count year-over-year).

On the operational front, a recent shift that underscores stronger growth for domestic market leaders is the transition to the "Siren System" and "Smart Queue" technology. Starbucks reported that these investments in store-level automation have reduced peak wait times to less than four minutes on average. Data from the Q1'26 earnings release suggests a strong correlation between these throughput enhancements and the recovery of transaction volume. The first quarter of fiscal 2026 saw U.S. comparable transactions rise 3%, the first positive growth in eight quarters, signaling that operational "uplifts" are successfully capturing latent demand that was previously lost to long lines.

Despite the global market attracting new low-cost entrants, Starbucks has outpaced its peers in digital engagement and "sticky" revenue. Q1'26 results highlight that Starbucks Rewards members now account for 60% of total U.S. revenue, providing a predictable revenue floor that cross-border and regional peers haven't yet been able to match. This competitive positioning is attributed to the brand's early entry into digital loyalty, coupled with the "Back to Starbucks" strategy, which reinvested \$1 billion into restoring the "Third Place" experience.

The global coffee market is experiencing a secular shift in consumer preferences, driven by the "Cold Revolution." In Q1'26, Starbucks reported that cold beverages now represent 76% of total U.S. beverage sales, showcasing its ability to adapt its product mix for younger demographics who view coffee as a lifestyle "snack." While competitors like Dutch Bros have seen high volatility in their stock performance due to high P/E ratios, Starbucks' diversified revenue streams position it as a more resilient defensive play during economic cycles.

Regulatory and geopolitical developments, such as the classification of China's retail operations as "held for sale," have further solidified Starbucks' pivot toward a licensed joint-venture model. This shift reduces the capital risk of international expansion while enabling Starbucks to leverage local expertise to compete against rivals like Luckin Coffee. As the global leader, Starbucks' ability to maintain a 48.1% share of the U.S. branded market while expanding its international footprint at double the rate of North America.

Financial Analysis

Sales Growth: Starbucks showed improved sales momentum in Q2'26, driven by stronger comparable store sales. Comparable store sales measure how much revenue existing stores generate compared to the same period in the prior year. In Q2'26, global comparable store sales increased 6.2%, while North America comparable store sales increased 7.1%. This was

mainly driven by higher customer traffic and a higher average ticket. Starbucks also ended the quarter with 41,129 stores globally, with the U.S. and China making up about 61% of the company's total store base. The company had 16,944 stores in the U.S. and 7,991 stores in China at the end of the quarter.

Revenue by Segment: North America remains Starbucks' largest and most important segment. North America revenue increased 7% year-over-year to \$6.9 billion, because company-operated stores benefited from the 7.1% comparable sales increase. International revenue increased 10% to \$2.1 billion, helped by growth in licensed stores, foreign currency benefits, and positive comparable store sales. Channel Development revenue increased 39% to \$567.8 million, largely due to growth from the Global Coffee Alliance.

Profitability & Margins: Starbucks' consolidated profitability improved in Q2'26. GAAP operating margin expanded 180 basis points to 8.7%, helped by sales leverage, lower store operating costs, and lower depreciation and amortization after Starbucks classified its China retail operations as held for sale. However, profitability was mixed by segment. North America's operating margin decreased from 11.6% to 9.9% because of higher labor investments tied to the "Back to Starbucks" plan, product mix changes, tariffs, and elevated coffee prices. In contrast, International operating margin increased sharply from 11.6% to 19.4%, helped by lower store operating expenses and lower depreciation costs related to the China restructuring.

Cost Growth vs. Sales Growth: Starbucks' expenses grew faster than sales in some areas, especially in North America. North America product and distribution costs increased 14.5%, compared to North America revenue growth of about 6.5%. This shows that cost pressure from coffee prices, tariffs, and product mix was a key drag on margins. Store operating expenses in North America also increased 7.6%, slightly faster than sales, mainly because Starbucks invested more in labor to improve service and support the "Back to Starbucks" turnaround plan.

Unusual or Irregular Costs: The biggest unusual item in the quarter was related to Starbucks' China restructuring. Starbucks classified its China retail operations as held for sale, which reduced depreciation and amortization expense and helped boost operating margin. The company also had restructuring and impairment costs, transaction costs, and transformation costs. These items are not part of normal recurring operations, so they should be separated when analyzing Starbucks' core profitability. Starbucks also reported a higher effective tax rate due partly to the reorganization of certain China entities and changes connected to the China held-for-sale classification.

Balance Sheet & Liquidity: Starbucks' cash position declined significantly. Cash and cash equivalents fell from \$3.22 billion at September 28, 2025, to \$1.53 billion at March 29, 2026, a decline of about 52%. However, total current assets increased from \$7.38 billion to \$10.56 billion, mainly because Starbucks recorded \$5.04 billion of assets held for sale related to its China transaction. Total assets decreased from \$32.02 billion to \$30.56 billion, showing a decline in the overall assets.

Current Ratio & Solvency: Starbucks' current ratio is approximately 0.92, calculated as current assets of \$10.56 billion divided by current liabilities of \$11.45 billion. A current ratio below 1.0 usually suggests tight short-term liquidity, but Starbucks can operate with a lower current ratio because it has high inventory turnover, strong daily cash sales, and large stored-value card liabilities from customer gift cards. Starbucks also has negative shareholders' equity, with a total shareholders' deficit of \$8.47 billion. Because of this, the debt-to-equity ratio is negative and not very useful for analysis. The negative equity is mainly caused by years of share repurchases and accumulated retained deficits. Debt-to-assets is high because total liabilities of \$39.02 billion exceed total assets of \$30.56 billion.

Cash Flow: Starbucks still generated solid operating cash flow, even though net earnings declined. For the first two quarters of FY2026, operating cash flow was \$1.96 billion, compared to net earnings of \$804 million. This gives Starbucks an operating-cash-flow-to-net-income ratio of about 2.44x. This is a positive sign because it shows that earnings are supported by cash flow. Important non-cash add-backs included \$821.1 million of depreciation and amortization, \$219.3 million of stock-based compensation, \$675.3 million of non-cash lease costs, and \$363.0 million of deferred income taxes.

Capital Expenditures & Financing: Starbucks reduced capital spending compared to the prior year. Additions to property, plant, and equipment were \$596.4 million for the first two quarters of FY2026, down from \$1.28 billion in the prior-year period. This helped preserve cash. On the financing side, Starbucks focused more on debt reduction and dividends than on share repurchases. The company repaid \$1.0 billion of long-term debt and paid \$1.41 billion in cash dividends during the first two quarters of FY2026. There was almost no new debt issuance, with only \$2.5 million of short-term debt proceeds reported.

Summary: Overall, Starbucks' financial performance shows a company in the middle of a turnaround. Sales growth is improving, especially in North America, where comparable store sales increased strongly. However, margin pressure remains a concern because labor investments, coffee prices, tariffs, and product mix are increasing costs. The International segment showed strong margin improvement, but part of that improvement came from the China held-for-sale accounting treatment, so it may not fully reflect normal operations. Starbucks continues to generate strong operating cash flow, but its balance sheet remains highly leveraged with a current ratio below 1.0. The key financial question going forward is whether the "Back to Starbucks" strategy can keep growing traffic and sales while controlling labor, coffee, and operating costs.

Valuation

Discounted Cash Flow Model

Our model was constructed using three scenarios: an upside case, a downside case, and a base case. For the base case, we assume revenue grows from approximately \$37.6B in FY2026 to \$42.5B by FY2030, using consensus estimates for top-line revenue growth in 2026, 2027, and 2028.

We use a 7.7% WACC and a 3.0% terminal growth rate. Margins are kept conservative because Starbucks still faces pressure from higher labor costs, elevated coffee prices, tariffs, and product mix changes. However, we assume gradual margin improvement as sales recover and store efficiency improves. As a result, unlevered free cash flow increases from about \$3.1B in FY2026 to \$3.6B by FY2030.

Based on these assumptions, our DCF gives a base case fair value of approximately \$92.50 per share. Compared to the current share price of \$105.91. Therefore, the DCF supports a Neutral rating. Starbucks remains a strong business with long-term potential, but much of the turnaround already appears priced into the stock, leaving limited upside at the current valuation.

Comparable Companies Analysis

We also valued Starbucks using a comparable companies analysis against major restaurant and coffee peers, including McDonald's, Dutch Bros, Yum China, and Luckin Coffee. Based on the table, Starbucks trades at 14.85x 2027E EV/EBITDA, 19.30x 2027E EV/EBIT, and 27.50x 2027E P/E. This is in line with the peer median for EV/EBITDA and EV/EBIT, but above the peer

median P/E of 20.32x. This suggests Starbucks is not deeply undervalued compared to peers, especially since investors are already paying a higher earnings multiple for the stock.

Starbucks' valuation is supported by its strong brand, global scale, and profitability, with 13.95% ROA, which is above the peer median of 10.12%. However, its forward growth profile is more moderate, with 5.0% revenue growth, 7.1% EBITDA growth, and 14.0% EPS growth, which is below faster-growing peers such as Dutch Bros and Luckin Coffee. Overall, the comps support a Neutral rating because Starbucks remains a high-quality business, but the stock already trades at a fair-to-premium valuation relative to its growth profile.

Risks

Strategic Execution Risk: The "Back to Starbucks" Turnaround

Starbucks is currently exposed to significant idiosyncratic risk regarding the execution of its "Back to Starbucks" strategy. According to the Q1 2026 10-Q, the company's GAAP operating margin contracted to 9% (a decline of 290 basis points year-over-year). This contraction is explicitly attributed to increased labor investments and store-level improvements intended to drive long-term growth. A primary risk outlined in the FY2025 10-K involves the net closure of 627 stores in North America; management's success depends on "sales transfer" to nearby locations, an outcome that is not guaranteed. Additionally, while the company is rolling out the "Siren System" to improve throughput, the increasing reliance on complex store technology creates a vulnerability to large-scale system interruptions or software glitches that could paralyze operations across the global fleet.

Structural Risk: China Joint Venture & "Held for Sale" Status

The transition of Starbucks' China business, which comprises 8,011 stores to a licensed model via a partnership with Boyu Capital introduces unique financial and operational risks. The Q1 2026 10-Q reports that the company's effective tax rate spiked to 61.7% specifically because these China assets were reclassified as "held for sale." "Held for sale" means that Starbucks has officially committed to selling the asset within the next year, moving it into a separate "disposal" category on the balance sheet and stopping all regular depreciation on it. This was a one-time tax bill as they shifted those stores to a new partnership.

While this move is intended to improve long-term margins, Starbucks is shifting from direct control to a licensed model. This creates a risk that a third-party partner may not be able to maintain the brand's premium positioning. Furthermore, the 10-K explicitly cites the risk of "changes in the legal or regulatory environment" in China, which could lead to sudden operational constraints that specifically target American-branded icons.

Market Risk: Systematic Commodity and Currency Volatility

Beyond internal company factors, Starbucks faces broader market risks. The Q1 2026 10-Q identifies "elevated coffee pricing and tariffs" as a primary driver of margin pressure. Starbucks is a massive consumer of Arabica beans and cannot escape the industry-wide impact of rising coffee. Additionally, 48% of the store portfolio now operates under licensed models, and the company is increasingly sensitive to "unfavorable foreign currency translation." As a result, a strengthening US Dollar can mechanically reduce consolidated net revenues regardless of how well individual international stores are performing.

Thesis & Recommendation

We rate Starbucks Neutral because the company is already the dominant U.S. branded coffee player, with 48.1% market share, which limits how much upside can come from simply growing larger. The real upside depends on whether Starbucks can turn its existing scale, rewards ecosystem, and customer loyalty into stronger profitability.

The key catalyst is margin expansion. If the Back to Starbucks strategy and Siren System improve service speed, traffic, and store efficiency, stronger sales could flow through to higher free cash flow. However, labor costs, coffee prices, tariffs, and execution risk still create uncertainty. At the current valuation, Starbucks remains a strong company, but the stock leaves limited room for mistakes, supporting a Neutral rating.

Appendix

Summary of Financials - Income Statement								
Income Statement	2023A	2024A	2025A	2026P	2027P	2028P	2029P	2030P
Revenue	35952	36148	37162	37693	38489	40806	41667	42546
COGS	28136	28490	31083	31527	32192	34130	34850	35585
% of Sales	78%	79%	84%	84%	84%	84%	84%	84%
Gross Profit	7816	7658	6079	6167	6297	6676	6817	6961
% of Sales	22%	21%	16%	16%	16%	16%	16%	16%
Total SG&A	2441	2523	2617	2352	2332	2383	2433	2485
Depreciation	1572	1572	1754	1780	1818	1927	1968	2009
Amortization	22	20	18	18	18	18	18	18
EBIT	5374	5134	3461	3815	3964	4293	4383	4476
Net Interest Expense	551	597	638	477	471	466	460	454
Non-Operating Expenses/(Income)	344	145	335	335	335	335	335	335
Pretax Income	5402	4970	2507	3003	3158	3492	3589	3687
Income Tax Expense	1277	1207	651	729	767	848	872	896
Net Income	4125	3763	1856	2273	2391	2644	2717	2792
Reported EBITDA	6727	5233	5243	5613	5800	6238	6369	6503

Summary of Financials - Balance Sheet								
Balance Sheet	2023A	2024A	2025A	2026P	2027P	2028P	2029P	2030P
Current Assets								
Cash and cash equivalents		3286	3220	4306	5376	6562	7765	8999
Short-term investments		257	247	247	247	247	247	247
Accounts receivable, net		1214	1278	1343	1371	1453	1484	1515
Inventories		1777	2186	2252	2299	2438	2489	2542
Prepaid expenses and other current assets		313	452	460	470	498	508	519
Total Current Assets		6847	7382.30	8608	9763	11198	12494	13823
Fixed Assets								
Long-term investments		276	247	247	247	247	247	247
Equity investments		464	466	466	466	466	466	466
Property, plant and equipment, net		8666	8494	8319	8141	7952	7759	7562
Operating lease, right-of-use asse		9286	9316	9316	9316	9316	9316	9316
Deferred income taxes, net		1767	1827	1827	1827	1827	1827	1827
Other long-term assets		617	753	753	753	753	753	753
Other intangible assets		101	167	149	131	113	95	77
Goodwill		3316	3369	3369	3369	3369	3369	3369
TOTAL ASSETS		31339	32019	33053	34012	35241	36326	37439
Current liabilities								
Revolver		0	0	0	0	0	0	0
Accounts payable		1596	1853	1900	1940	2057	2101	2145
Accrued liabilities		2195	2360	2522	2575	2730	2788	2847
Accrued payroll and benefits		787	1094	1094	1094	1094	1094	1094
Current portion of operating lease liability		1463	1565	1565	1565	1565	1565	1565
tored value card liability and current portion of deferred revenue		1781	1841	1841	1841	1841	1841	1841
Current portion of long-term debt		1249	1499	1499	1499	1499	1499	1499
Total current liabilities		9070	10210	10421	10515	10787	10888	10991
Long term liabilities								
Long-term debt		14320	14576	14576	14576	14576	14576	14576
Operating lease liability		8772	8972	8972	8972	8972	8972	8972
Deferred revenue		5964	5773	5773	5773	5773	5773	5773
Other long-term liabilities		656	578	578	578	578	578	578
Total liabilities		38781	40109	40320	40414	40685	40786	40890
Total Equity		(7442)	(8089)	(7267)	(6402)	(5444)	(4461)	(3450)

Summary of Financials - Cash Flow Statement								
Cash flow Statement	2023A	2024A	2025A	2026P	2027P	2028P	2029P	2030P
CASH FLOW FROM OPERATING ACTIVITIES								
Net Income				2273	2391	2644	2717	2792
Depreciation				1780	1818	1927	1968	2009
Amortization				18	18	18	18	18
(Increase) Decrease to Net Working Capital				71	8	23	8	9
Net Cash Provided by Operating Activities				4143	4235	4612	4711	4828
CASH FLOW FROM INVESTING ACTIVITIES								
Capex				(1606)	(1640)	(1738)	(1775)	(1812)
Net Cash Used in Investing Activities				(1606)	(1640)	(1738)	(1775)	(1812)
CASH FLOW FROM FINANCING ACTIVITIES								
Revolver draw(paydown)				0	0	0	0	0
Debt Issuance				1820	1250	1500	1000	1350
Debt Paydown				(1820)	(1250)	(1500)	(1000)	(1350)
Share repurchase				0	0	0	0	0
Dividends				(1450)	(1525)	(1687)	(1733)	(1781)
Option Proceeds				0	0	0	0	0
Net Cash Provided by (Used in) Finance Activities				(1450)	(1525)	(1687)	(1733)	(1781)
Beginning Cash Balance				3220	4306	5376	6562	7765
Change in Cash				1086	1069	1187	1203	1234
Ending Cash Balance				4306	5376	6562	7765	8999

		Discounted Cash Flow Model (USD\$m)						
		2025	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	
Terminal Y FY 2031 \$43,822	Perpetual Growth Rate 3.0%	Total Revenues	\$37,162	\$37,693	\$38,489	\$40,806	\$41,667	\$42,546
		Growth Rate (%)		1.4%	2.1%	6.0%	2.1%	2.1%
		Cost of Sales	31,063	31,527	32,182	34,130	34,850	35,585
		Gross Profit	\$6,079	\$6,167	\$6,297	\$6,676	\$6,817	\$6,961
		Gross Margin (%)	16.4%	16.4%	16.4%	16.4%	16.4%	16.4%
		Total SG&A	2,617	2,352	2,332	2,383	2,433	2,485
		EBITDA	\$5,234	\$5,813	\$5,880	\$6,238	\$6,388	\$6,593
		EBITDA Margin (%)	14.7%	14.9%	15.7%	15.2%	15.2%	15.3%
		Less: Depreciation & Amortization	1,772	1,798	1,838	1,945	1,986	2,027
		EBIT	\$3,462	\$3,815	\$3,964	\$4,293	\$4,383	\$4,476
471	3.0%	Corporate Tax Rate	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%
		Tax-affected EBIT	\$2,587	\$2,861	\$2,973	\$3,220	\$3,288	\$3,357
		Add-back: D&A (non-cash expense)	1,772	1,798	1,838	1,945	1,986	2,027
		Tax-affected EBIT + D&A	\$4,369	\$4,659	\$4,809	\$5,165	\$5,273	\$5,384
		Less: CapEx	(1,582)	(1,606)	(1,640)	(1,738)	(1,775)	(1,812)
		Plus / (Less): Change in Net Working Capital (NWC)	(189)	71	8	23	8	9
		Unlevered Free Cash Flow (FCF)	\$2,588	\$3,124	\$3,177	\$3,449	\$3,507	\$3,580
		Mid-Year Convention?	No					
		Discount Year	0.0	1.0	2.0	3.0	4.0	5.0
		Discount Factor		0.96	1.00	1.00	1.00	1.00
\$5,730	3.0%	NPV of Unlevered FCF		\$2,999	\$3,172	\$3,449	\$3,507	\$3,580

WACC	
<u>Basic Capitalization Table:</u>	
Short-term debt (USD\$m)	1,499
Long-term debt (USD\$m)	14,578
Total Debt (USD\$m)	16,075
Total Diluted Shares Outstanding (millions)	1,140
Current Share Price (USD \$)	\$105.91
Total Equity Value (USD\$m)	120,695
Total Capitalization (USD\$m)	136,770
Debt as % of Total Capitalization	11.8%
Equity as % of Total Capitalization	88.2%
Current Levered Beta (per chatgpt)	0.94
<u>Target Capitalization Ratios:</u>	
Debt as % of Total Capitalization	12.0%
Equity as % of Total Capitalization	88.0%
<u>Cost of Debt:</u>	
Debt Financing Interest Rate	3.4%
Corporate Tax Rate (Debt Shield)	21.0%
Tax-affected Cost of Debt	2.7%
<u>Cost of Equity:</u>	
Risk-free Rate	4.4%
Equity Risk Premium	4.2%
Levered Beta	0.94
Cost of Equity	8.3%
Weighted Avg. Cost of Capital (WACC)	7.7%

Price per Share Sensitivity to WACC and Growth					
	2.0%	2.5%	3.0%	3.5%	4.0%
6.3%	\$91.46	\$102.16	\$116.07	\$134.90	\$161.81
6.8%	\$83.45	\$91.98	\$102.75	\$116.75	\$135.70
7.3%	\$76.93	\$83.91	\$92.50	\$103.34	\$117.43
7.8%	\$71.54	\$77.36	\$84.38	\$93.02	\$103.93
8.3%	\$67.00	\$71.93	\$77.78	\$84.85	\$93.55

Sources Cited in Report: Key information has been sourced from Starbucks Corp's SEC filings (10-K, 10-Q), investor presentations, and earnings call transcripts, and reputable financial news outlets:

- Starbucks Corp's 2025 Form 10-K for financials, segment details, and risk disclosures.
- Starbucks Corp's Q2 2026 earnings release for the latest performance and guidance.
- Yahoo Finance and CapitalIQ for valuation comparisons.
- Wall Street research consensus, where available.